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LOANS

Education Loan

IT Act allows a deduction for loans mainly under two sections. Section 80E and Section 24. Under Section 80E, we can claim a deduction for all interest on our educational loan. Here, no limit has been defined and the entire interest component can be deducted. The interest is the only component that can be deducted and not the principal component of the EMIs that we will be paying. So, currently in our profile, we simply need to identify if we have any education loan or the intention to take one in the foreseeable future. If that is not the case, then this deduction can be ignored.



Section 80E

Interest Component of Education Loan
No Limit for Deduction

Housing Loan or Home Improvement Loan

Next under section 24, similarly, only the interest component of home loan is deducted. The principal component is covered in Section 80C. Here, a limit is identified for up to Rs. 2,00,000 worth deduction on home loan and if it is home improvement loan, then a limit of Rs. 30,000 is fixed.

Section 24

Interest component is deductible here
Home Loan - limit of Rs 2 Lac
Home Improvement Loan - limit of Rs 30,000

Section 80C

The principle component is deductible here, total limit of Rs 1.5 Lac

